

he would tell me a thing or two about his profession, and in turn I would tell him a few things about trading.

One evening we had a very long chat, during which he told me about the ways in which promoters manipulated the earnings of their firms. According to him, manipulation was more rampant in mid-cap firms, though large-cap firms too were not always above board.

‘It is like this – all milk is adulterated, only the proportion of water varies,’ Sherlock explained to me.

One way to manipulate numbers was to recognize revenues in the books of accounts ahead of time when there was no certainty that the company would receive the payment. A property developer’s luxury residential project may be fully booked on the very first day of launch, but there could be cancellations or defaults later on. A products firm could reduce its inventory by getting dealers to overstock by offering them favourable credit terms. Companies also booked fictitious sales or showed income from non-core operations (for example, income from investments in shares, bonds, mutual funds) as sales. There were companies that dabbled in their own shares and showed the profits in their earnings. Some companies would not make adequate provisions for doubtful receivables, tax disputes and other liabilities. In the banking industry, ‘evergreening’ of loans is a standard procedure to lower provisions for bad loans. The banks issue a fresh loan to the troubled borrower so that he is able to repay his earlier loan with it, thereby technically avoiding a default.

In a rising market, promoters were keen to show off a fat bottom line, real or fake, as it helped them raise equity capital at fancy valuations. But in a bear market, promoters would usually revert to their old trick of siphoning off money from the company’s books. They know that showing good earnings is of little help when the market is down because prospective investors are finicky about the price they are willing to pay.

The most common strategy to pilfer cash from the company’s books was to suppress receipts and inflate expenses. These could relate to a wide range of items, from sales and promotional events, to capital expenditure programmes.

Merely studying the profit and loss statements of companies would tell investors little about the funds that were leaking out. Only those working in the company or in the same industry would know the true picture. In some sectors like liquor, a good deal of sales were done in cash, outside the